

EQUITY RESEARCH · COMPANY DEEP DIVE

Meta Platforms, Inc. (META.US)

Communication Services · Internet Content & Information

Large Cap (>\$200B) · Report Date: October 05, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-05

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$697.81 · -5.9% upside

Price \$741.90

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$697.81 (-5.9% vs \$741.90); Comps 85% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT \$697.81	45%
FSA	Strong	Health +0.40 · Strong	20%
Technical	BULLISH	Neutral · Golden Cross	20%
Quantitative	NEUTRAL	Score +0.20 · 12m +5%	15%
Composite	HOLD	Score +0.11 · 75% confluence	—

Recent golden cross; valuation rich but trend improving — wait for confirmation; solid financial statement profile.

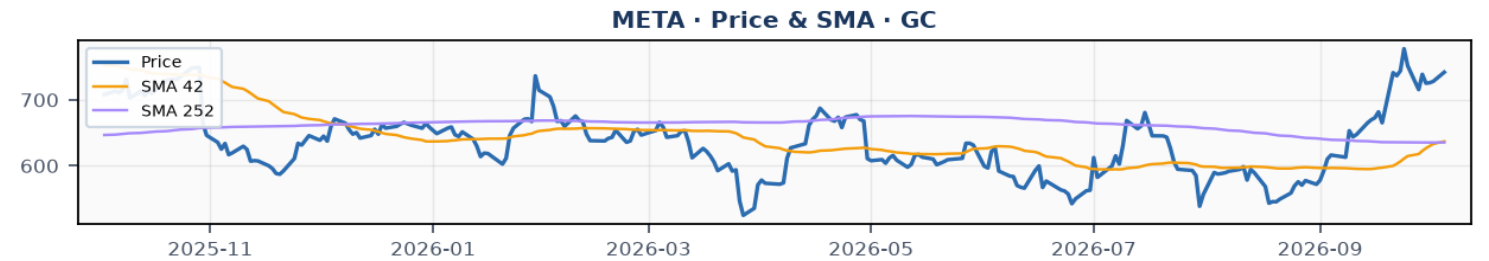
INVESTMENT THESIS / EXECUTIVE SUMMARY

Meta Platforms, Inc. (META) — Communication Services. Meta Platforms, Inc. engages in the development of products that enable people to connect and share with friends and family through mobile devices, personal... **UNDERWEIGHT** rating; blended target \$697.81. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.89T	Shares Out.	2205.1M
52-Week Range	\$520.26 – \$779.82	P/E (TTM)	28.0x
P/B	7.2x	Beta	1.19
Avg Volume	19.37M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$228.25B	Rev Growth	+28.0%
Op. Margin	34.8%	FCF (TTM)	\$46.11B
Gross Margin	81.7%	ROE	29.8%
EV/EBITDA	17.1x	Debt/Equity	43.0%
EPS (TTM)	\$26.54	Div Yield	29.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	164,501	200,966	257,236	309,584	356,006
Revenue Growth (%)	N/A	22.2%	28.0%	20.3%	15.0%
Net Income (\$M)	62,360	60,458	77,386	93,134	107,100
Gross Margin (%)	81.7%	82.0%	81.7%	81.7%	81.7%
Net Margin (%)	37.9%	30.1%	30.1%	30.1%	30.1%
EPS (\$)	28.28	27.42	35.09	42.24	48.57
P/E (x)	26.23	27.06	21.14	17.57	15.28

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$636.87	Short-term trend	12m Momentum	+4.8%	
SMA (252d)	\$635.42	Long-term trend	3m Momentum	+23.1%	
RSI (14d)	63.6	Momentum oscillator	Ann. Volatility	45.3%	
Trend	Neutral		Sharpe Ratio	0.30	Rf=4%
Golden Cross (20d)	Yes	Golden Cross	Max Drawdown	-74.4%	
Death Cross (20d)	No		Rel. Strength vs SPY	+34.0%	
TA Signal	BULLISH	Golden Cross within last 20d (SMA42 > SMA252); SMA42=\$636.87, SMA252=\$635.42	Quant Score	+0.20	NEUTRAL
			SMA Backtest (ann.)	38.3%	B&H; 52.7%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$489.35	-34.0%	—	Not in blend
Comps — Blended	\$680.66	-8.3%	85%	Included in blend
Analyst consensus	\$794.96	+7.2%	15%	Included in blend
Blended target	\$697.81	-5.9%	100%	Comps 85% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.52%	4.00%	12.00%	\$1.08T	\$489.35	-34.0%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
GOOGL	Alphabet Inc.	\$4.24T	17.4x	23.7x	54.8%	+24.2%
NFLX	Netflix, Inc.	\$281.07B	21.2x	19.5x	28.2%	+13.4%
DIS	Walt Disney Company (T	\$178.90B	21.4x	10.7x	8.7%	+6.8%
SNAP	Snap Inc.	\$9.49B	N/A	-75.2x	-4.9%	+18.9%
META*	Meta Platforms, Inc.	\$1.89T	28.0x	17.1x	29.8%	+28.0%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (28.0% YoY); High operating leverage (34.8% margin); Sector: Communication Services | Industry: Internet Content & Information · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.